ECON 580: Honors Research Tutorial

Where to Find Research Questions

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Department of Economics

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Introduction

- The goal of this course is to develop your own research project.
  1. Identify an interesting research question.
  2. Provide an answer to that question.
- At this point, you may have already started asking yourself:
  1. What makes a good research question?
  2. How do I come up with my own?
- Formulating a research question can be challenging. If you've struggled with it, you're not alone.

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2. External to economics, e.g., analyzing public policy:
   - How effective is the policy? Does it achieve its intended goal? Any unintended consequences?
   - Conduct a cost-benefit analysis.

Plan for Today

- We will discuss concrete examples of the two types of research questions
  1. The examples will come primarily from our own papers.
  2. We will explain how each research question was developed.
  3. Our goal is for you to identify potential sources of inspiration for your own paper.

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Disclaimer — "Cerca Trova"

- All the approaches I'll show you ultimately require reading, reflecting, and connecting the dots.
- While inspiration is a random process, it requires active searching

Inspiration exists, but it has to find you working.

- Pablo Picasso

Outline

Braxton and Taska (2023) "Technological Change and the Consequences of Job Loss"

BHP (2024) "Can the Unemployed Borrow? Implications for Public Insurance"

ALO (2023) "Labor Market Conflict and the Decline of the Rust Belt"

Inspiration Outside of Econ Journals

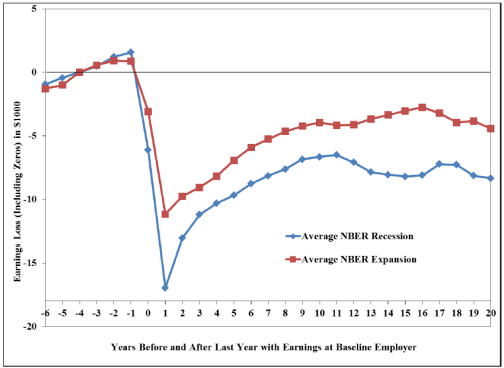
Basic Research "Recipe"

BT (2023) – *Explain behavior or a phenomenon*

Paper's title **Technological Change and the Consequences of Job Loss**

- A good starting point for a paper is identifying an empirical regularity.
- This empirical regularity can be:
  1. **New**: A pattern that has not been documented before.
  2. **Well-documented:** A known fact in the literature.

Job loss causes a large and persistent decline in earnings



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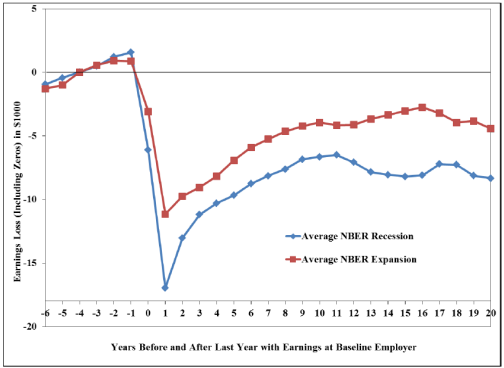

Davis and von Wachter (2011, BPEA): document the above empirical fact

- Show that leading models of the labor market unemployment (i.e., search models) cannot match this fact, i.e., there is a puzzle!

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- Why is this pattern interesting?
  1. If **new**, why is it important to understand?
  2. If **well-documented**, why does it deserve a fresh look? (e.g., new data, new context, or new theoretical explanation).

What Explains Job Loss Being So Costly?

- After Davis and von Wachter, many papers try to explain the cost of job loss
  - Can rationalize by assuming human capital lost during unemployment
- I read all of this as a 3rd year PhD student and think this explanation is crazy....

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  - Or put another way, why would you not know how to do you prior job anymore ...

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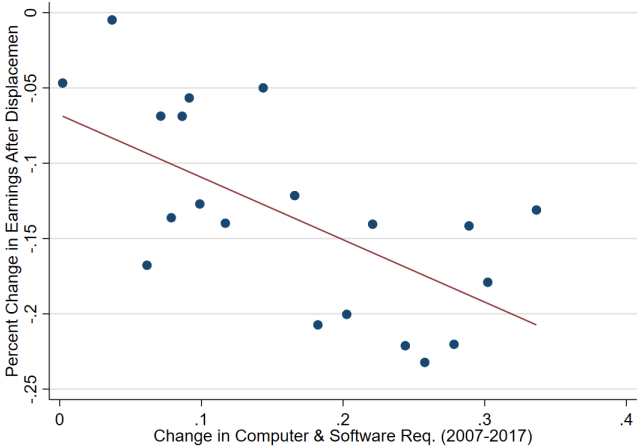
  - Or put another way, why would you not know how to do you prior job anymore ...
  - Maybe its because a new technology came in and changed the nature of your job ...
  - But how would we measure this?
- Reading the AER for another project I learn about the Burning Glass data ...
  - Allowed for tracking skill requirements within an occupation over time!

What Explains Job Loss Being So Costly?

Empirical Results 1. Workers more exposed to technological change experience larger earnings losses after displacement



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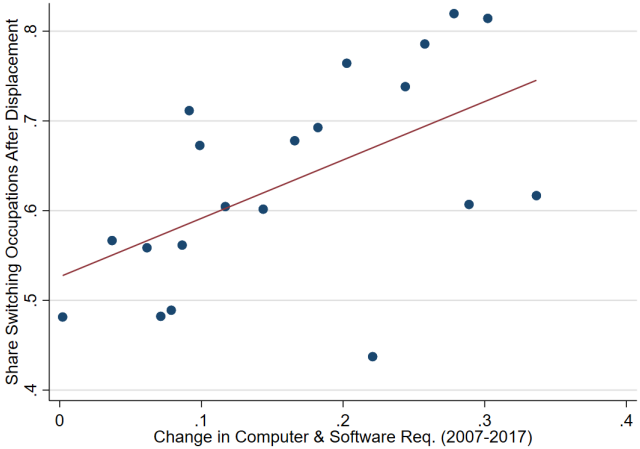
Empirical Results 2. Workers more exposed to technological change are more likely to switch occupations after displacement



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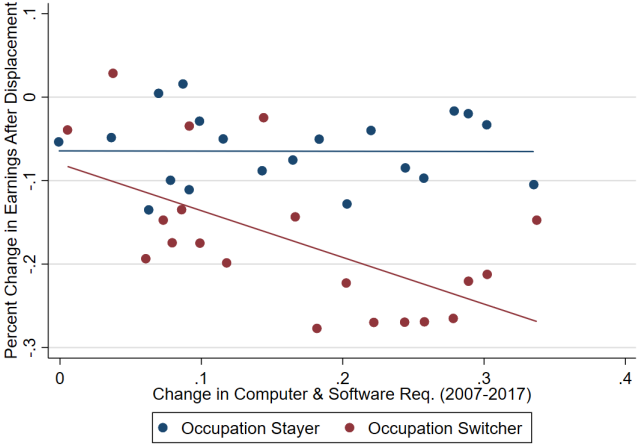

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- What is your contribution?
  1. Are you providing a new explanation for the phenomenon?
  2. Did the empirical regularity changed?

BHP (2024) - *Filling a gap in the literature*

Paper's title **Can the Unemployed Borrow? Implications for Public Insurance**

- Another way to formulate a research question is to ask: **What is missing or overlooked in the existing literature?**
- We push the frontier by introducing a new perspective on a well-studied issue.

Let's look at the Introduction of BHP (2024)

- Well documented that job loss causes a large and persistent decline in earnings.
- Literature has been very focused on the earnings consequences of job loss
- But what else happens to them? How do people respond to job loss?
- Do they maintain their access to credit? i.e., is there scope to self-insure via credit markets?
- Do they borrow to smooth consumption? Do they skip debt payments?
- Macro question: Credit markets expanded over past 50 years, can this supplement UI system?

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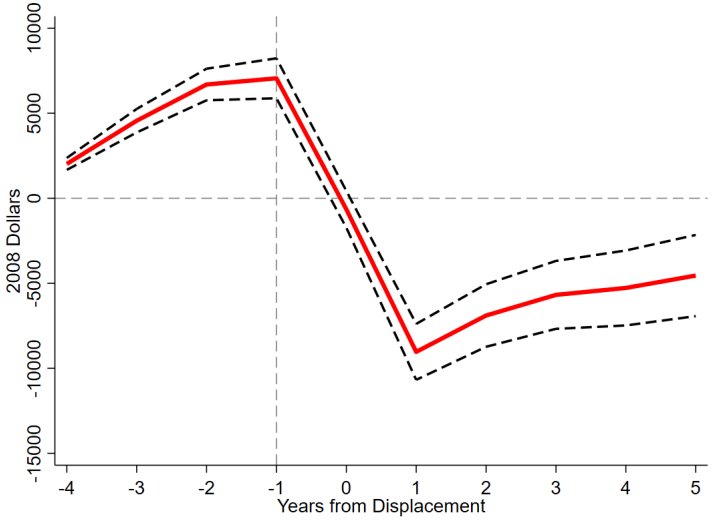
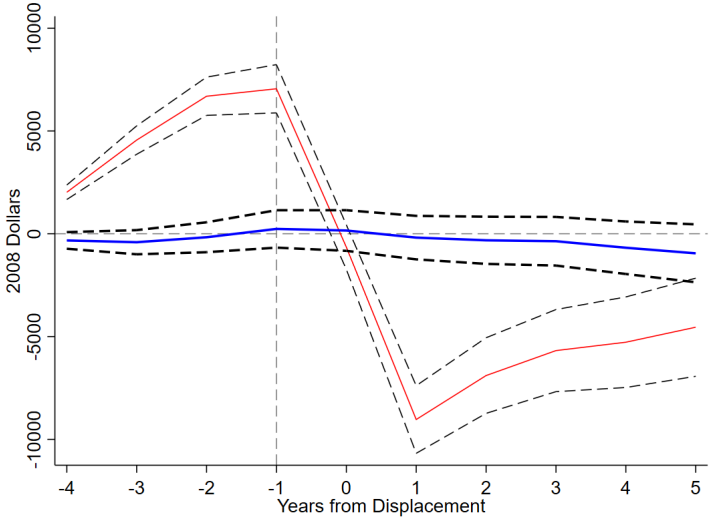
  1. It can be motivated by **theory** (e.g., a missing mechanism or assumption).
  2. It can be motivated by **data**

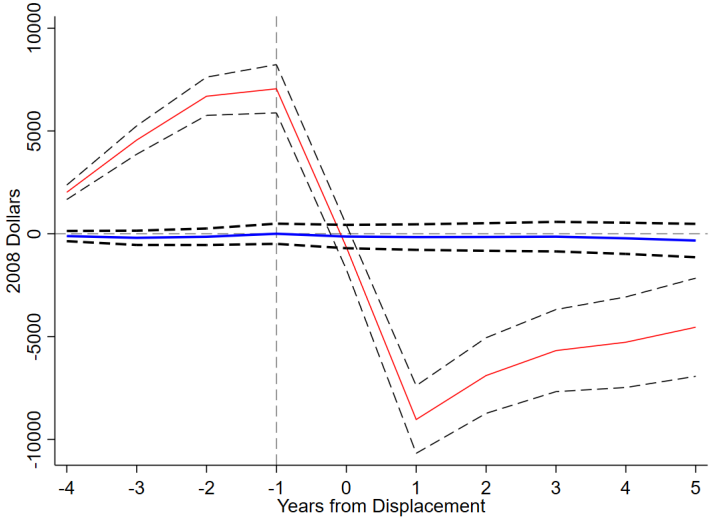
BHP (2024): Large earnings losses around job loss



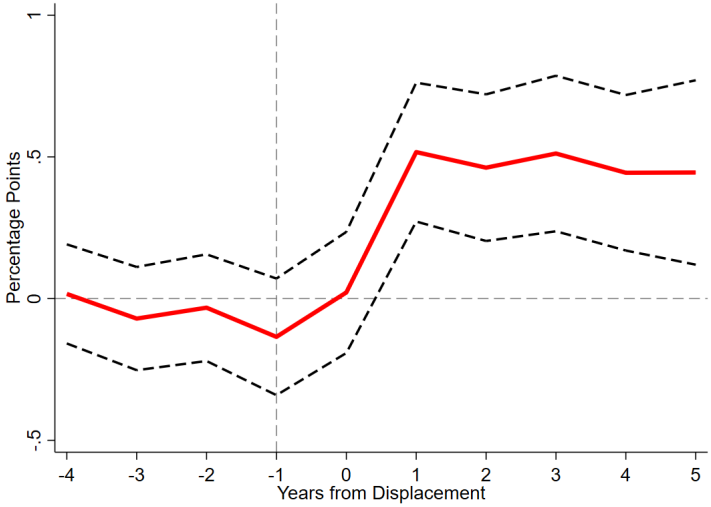
BHP (2024): but households debt limits do not change!



BHP (2024): HH do not borrow in response to job loss



BHP (2024): Instead they respond by missing debt payments!



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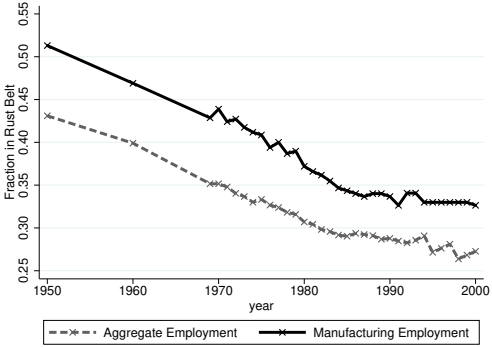
  2. It can be motivated by **data**
- What is the contribution?
  1. Does this new perspective **challenge or refine existing results**?
  2. Does it generalize previous findings or provide policy-relevant insights?

ALO (2023) – *Solve an Empirical Puzzle*

Paper's title **Labor Market Conflict and the Decline of the Rust Belt**

The data:



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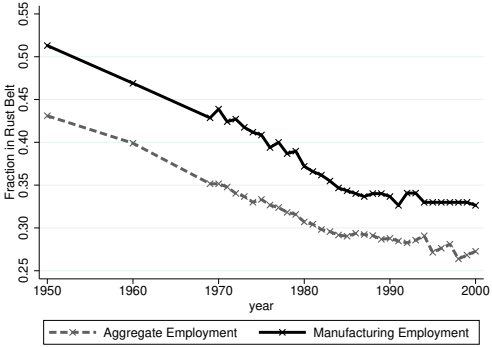

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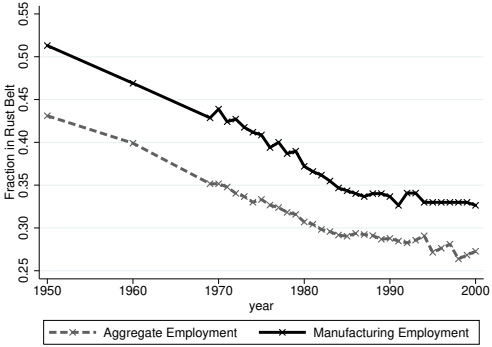

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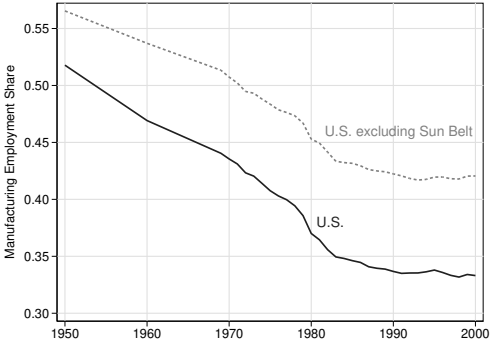

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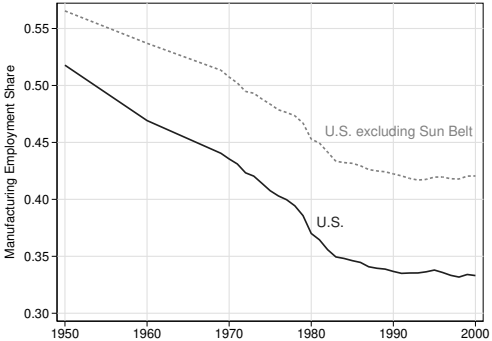

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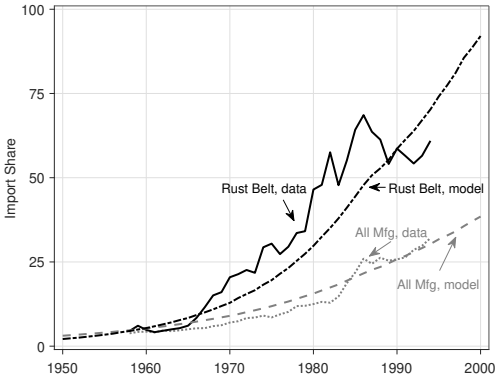

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Looking for Potential Alternative Explanations

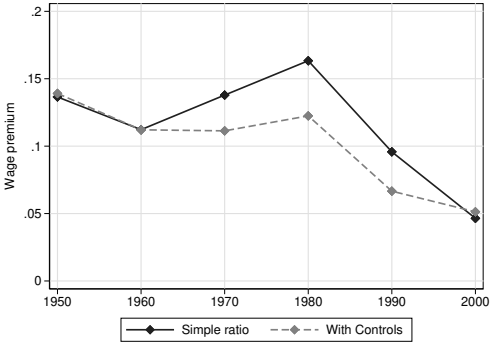

Figure: Wages in Rust Belt vs. Rest of Country

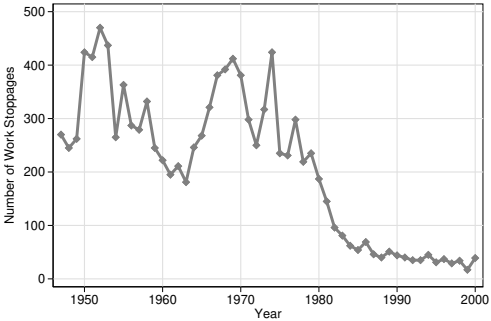

Figure: Work Stoppages in Rust Belt Industries

Inspiration Outside of Econ Journals

- So far, all the examples have involved having some knowledge of economic papers.
- But inspiration can also come from outside academic journals, such as:
  - Policy papers / briefs
  - newspapers and magazines
  - opinion pieces (in newspapers, blogs,. . .)
  - podcasts
  - social media
  - . . .

Basic Research "Recipe"

1. Find and motivate a research question
2. Conduct literature review
   - Identify the paper(s) closest to your idea
   - Inspect the paper's bibliography and use Google Scholar to see the paper's "afterlife"
3. Develop a methodology to answer your research question.
   - Study the closest papers to your idea.
   - what data and methods are used? are they publicly available?
4. Implement methodology.

One Word of Caution: Doing Research Is Not a Linear Process

- The previous diagram might lead you to believe that research is a linear process:
  1. Identify your research question.
  2. Find the appropriate methods.
  3. Implement the methods.
  4. Write the paper.
- But it is not!
- Each stage continuously interacts with the others:
  - While implementing methods, you may refine or rethink your research question based on data insights.
  - Writing the paper might reveal gaps in your methods or in the existing literature.
  - You might discover new research questions while reviewing your results.
- Don't be afraid to revisit each step as you move forward!

Looking ahead

- From now on, you take the front seat.
- We look forward to hearing about your own research.
- Remember #1: Replication Exercise due on 02/06/25
- Remember #2: Next week we have Inidividual meetings.